

Unit-4

Introduction to Controlling System

Controlling is a management function that ensures that organizational goals are achieved efficiently and effectively.

It involves setting standards, measuring actual performance, comparing results against standards, and taking corrective action when necessary.

Controlling helps managers monitor progress, identify deviations from plans, and make adjustments to ensure that objectives are met.

Controlling refers to the process of ensuring that organizational activities are achieving the desired results.

It involves setting standards, measuring performance, comparing results against standards, and taking corrective action when necessary.

Introduction to Process of Controlling

The process of controlling typically involves establishing performance standards, measuring actual performance, comparing results to standards, and taking corrective action as needed.

The process of controlling consists of several steps:

- **Establishing Standards:** Standards are benchmarks or targets against which performance is measured. These standards can be qualitative or quantitative.
- **Measuring Actual Performance:** Performance is measured against the established standards using various metrics and indicators.
- **Comparing Results to Standards:** Actual performance is compared to the established standards to identify any deviations or variances.
- **Taking Corrective Action:** If deviations are detected, corrective action is taken to bring performance back in line with the standards.

Requirements for Effective Control

Effective control requires clear objectives, standards for measurement, accurate information, prompt feedback, and flexibility to adapt to changes.

Clear Objectives: Well-defined goals and objectives provide a basis for control.

Standards for Measurement: Quantifiable standards enable objective assessment of performance.

Accurate Information: Reliable data and information are essential for making informed control decisions.

Prompt Feedback: Timely feedback allows for timely corrective action.

Flexibility: Control systems should be adaptable to changes in the internal and external environment.

The Planning Control Link

Planning and controlling are closely related processes.

Planning sets the direction and goals, while controlling ensures that activities are aligned with those goals and objectives.

Planning and controlling are interrelated functions of management.

Planning sets the direction and goals for the organization, while controlling ensures that activities are aligned with those goals and objectives.

Controlling provides feedback to the planning process by indicating whether objectives are being achieved and whether adjustments to plans are necessary.

The Process of Control

1. Establishing Control Standards:

- The process begins with setting clear and specific control standards or benchmarks.
- These standards serve as reference points against which actual performance will be measured.
- Control standards can relate to various aspects of organizational performance, including quality, quantity, time, cost, and customer satisfaction.
- For example, in a manufacturing company, control standards may include production targets, defect rates, and delivery schedules.

2. Measuring Actual Performance:

- Once control standards are established, the next step is to measure actual performance against these standards.
- This involves collecting relevant data and information about ongoing organizational activities, processes, and outputs.
- Measurements can be obtained through various means such as performance reports, financial statements, employee evaluations, customer feedback, and operational metrics.

3. Comparing Actual Performance with Standards:

- After measuring actual performance, it is compared to the established control standards.
- This comparison helps managers identify any deviations or variances between planned and actual performance.
- Deviations can indicate areas of success or areas needing improvement.
- For example, if a company set a target of producing 100 units per day but only produces 80 units, there is a deviation that needs attention.

4. **Analysing Deviations:**

- Once deviations are identified, the next step is to analyse the reasons behind them.
- Managers need to understand the root causes of deviations to determine appropriate corrective actions.
- This analysis may involve examining internal factors such as process inefficiencies, resource constraints, or skill gaps, as well as external factors such as market changes or regulatory requirements.

5. **Taking Corrective Action:**

- Based on the analysis of deviations, managers take corrective action to address any issues and bring performance back in line with the established standards.
- Corrective actions can vary depending on the nature and causes of deviations.
- They may include revising plans, realigning resources, providing additional training, improving processes, or implementing new strategies.
- The goal is to close the gap between actual performance and desired standards.

6. **Follow-Up and Monitoring:**

- The control process is not a one-time event but rather an ongoing cycle.
- After implementing corrective actions, it is important to monitor performance continuously to ensure that the desired standards are being met and sustained over time.
- This may involve regular performance reviews, progress tracking, and adjustments as needed to maintain control effectiveness.

Types of control

1. **Bureaucratic Control:**

- Relies on rules, procedures, and hierarchical authority.
- Bureaucratic control relies on formalized rules, procedures, and hierarchical authority structures to regulate behaviour and achieve organizational goals.

Characteristics:

- **Hierarchical Structure:** Bureaucratic control typically operates within a hierarchical organizational structure, where authority flows from top management down to lower levels.
- **Rules and Procedures:** Specific rules, policies, and procedures are established to govern behaviour and decision-making within the organization.
- **Centralized Decision-Making:** Decisions are often made by top management or designated authorities, with limited autonomy granted to lower-level employees.
- **Emphasis on Compliance:** Bureaucratic control emphasizes compliance with established rules and procedures, with little room for deviation.

- **Examples:** Government agencies, large corporations with formalized procedures, and organizations operating in highly regulated industries often rely on bureaucratic control to maintain order and ensure compliance.

2. Market Control:

- Based on market mechanisms such as competition and pricing.
- Market control relies on market mechanisms such as competition, prices, and market forces to regulate behaviour and achieve organizational goals.

Characteristics:

- **External Orientation:** Market control focuses on external factors such as customer demand, competition, and market dynamics.
- **Price Mechanism:** Prices serve as signals for resource allocation and performance evaluation. High prices may indicate strong demand or superior performance, while low prices may signal inefficiency or lack of demand.
- **Competition:** Competitive forces drive organizations to improve performance, innovate, and respond to customer needs in order to maintain or increase market share.
- **Customer Focus:** Market-oriented organizations prioritize customer satisfaction and market responsiveness in their decision-making processes.
- **Examples:** Companies operating in competitive industries such as retail, consumer goods, and technology often rely on market control to drive performance and achieve success.

3. Clan Control:

- Relies on shared values, norms, and culture within the organization.
- Clan control relies on shared values, norms, traditions, and informal relationships to regulate behaviour and achieve organizational goals.

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4. Cultural Control:

- Focuses on shaping the organizational culture to influence behaviour and performance.
- Cultural control involves shaping the organizational culture to influence behaviour, values, and beliefs in alignment with organizational goals.

Characteristics:

- **Values and Beliefs:** Cultural control emphasizes the importance of organizational values, beliefs, and norms in guiding behaviour and decision-making.
- **Leadership Role:** Leaders play a critical role in shaping and reinforcing the organizational culture through their actions, behaviours, and communication.
- **Socialization and Training:** New employees are socialized into the organizational culture through training, orientation programs, and mentorship.
- **Cultural Symbols and Artifacts:** Symbols, rituals, stories, and artifacts serve as visible manifestations of the organizational culture and reinforce desired behaviours.
- **Examples:** Companies known for their strong organizational cultures, such as Google, Zappos, and Southwest Airlines, leverage cultural control to foster innovation, collaboration, and employee engagement.

The Budget as Control Technique

Budgeting is a common control technique where financial plans are prepared and compared with actual results to ensure that resources are used efficiently and effectively.

Budgeting involves preparing financial plans that serve as standards against which actual performance is measured.

By comparing actual results to budgeted figures, managers can identify areas of concern and take corrective action as needed.

Information Technology in Controlling

Information technology plays a crucial role in controlling through the use of management information systems, data analytics, and reporting tools to monitor and evaluate performance.

Information technology plays a crucial role in controlling by providing tools and systems for collecting, analyzing, and disseminating information about organizational performance.

Management information systems, data analytics, and reporting tools enable managers to monitor performance in real-time and make data-driven decisions.

Productivity

Productivity measures the efficiency of production processes and is often used as a key performance indicator in controlling efforts.

Productivity measures the efficiency of production processes by comparing outputs to inputs.

Controlling productivity involves identifying ways to improve efficiency, reduce waste, and maximize output for a given level of input.

Problems and Management

Controlling helps identify and address problems within an organization, such as inefficiencies, bottlenecks, or deviations from standards.

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By monitoring performance and taking corrective action, managers can minimize the impact of problems on organizational goals.

Control of Overall Performance

Controlling overall performance involves monitoring various aspects of organizational performance, including financial performance, operational efficiency, and customer satisfaction.

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By focusing on overall performance, managers can ensure that all aspects of the organization are aligned with its strategic objectives.

Direct and Preventive Control

Direct control involves immediate corrective action when deviations occur, while preventive control focuses on measures taken to avoid problems before they arise.

Direct Control: Involves immediate corrective action when deviations from standards occur. Managers intervene to address issues as they arise.

Preventive Control: Focuses on measures taken to avoid problems before they occur. This may include implementing policies, procedures, and training to prevent deviations from standards.

Financial Controls

Financial controls involve monitoring and managing financial resources to ensure compliance with regulations, budgetary constraints, and organizational objectives.

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Tools for Measuring Organizational Performance

Various tools and techniques, such as key performance indicators (KPIs), balanced scorecards, and benchmarking, are used to measure and evaluate organizational performance.

Various tools and techniques are used to measure and evaluate organizational performance:

- **Key Performance Indicators (KPIs):** Quantifiable metrics that reflect progress towards organizational goals.
- **Balanced Scorecard:** A strategic planning and management tool that measures performance across multiple dimensions, including financial, customer, internal processes, and learning and growth.
- **Benchmarking:** Comparing performance against industry standards or best practices to identify areas for improvement.

Contemporary Issues in Control Workplace Concerns

Contemporary issues in control may include workplace concerns such as employee theft, violence, ethical dilemmas, and the impact of technology on control processes.

Contemporary issues in control may include workplace concerns such as:

- **Employee Theft:** Unauthorized taking of company property or resources.
- **Employee Violence:** Acts of violence or aggression in the workplace.
- **Ethical Dilemmas:** Moral or ethical challenges related to decision-making and behaviour.
- **Technology Impact:** The use of technology in monitoring and controlling employee behaviour, privacy concerns, and cybersecurity risks.